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August 2, 2017

Press Release

KCB Group Posts KShs. 14.7B in First Half 2017 Pre-Tax Profit

KCB Group posted a pre-tax profit of KShs. 14.75 Billion for the first half ending June 2017, helped by a strong performance of its core retail and corporate business, non- interest income and lower interest expense.

The Retail and Corporate loan book growth momentum that started late last year carried into the first half of 2017. This coupled with effective management of interest expense has cushioned the expected impact of interest rate capping in Kenya.

Following these results, the Board of Directors considered and approved payment of an interim dividend of KShs 1 per share to be paid in the next 90 days.

KCB Group CEO and MD Joshua Oigara said the business however remained resilient, showing strong momentum for growth into the second half of the year, adding that the management has put up strategies to boost earnings largely through digital channels.

H1 2017 Results Key Highlights

- PBT stood at KShs. 14.75B.
- Net Interest Income was up 3% to KShs. 23.15B from KShs. 22.50B
- Forex Income increased 3% to KShs. 2.65B from KShs. 2.57B
- Fees & Commissions went up 14% to KShs. 7.21B from 6.30B
- Total Assets improved by 3% from KShs. 610.2B to KShs. 630.6B
- Net Loans and Advances up 17% from KShs. 348.7B to KShs. 407.0B
- Customer deposits increased 1% from KShs. 476.5B to KShs.482.85B
- Shareholder funds grew 2% from KShs. 96.5B to KShs. 98.3B
- Long term debt funding was down 6% from KShs. 17.7B to KShs. 16.7B

KCB Group Plc

Directors: N. Biwott (Chairman); J.N. Oigara (Chief Executive Officer & Managing Director);
L.K. Kiambi (Chief Financial Officer); H.K. Rotich; A.A. Khawaja; T.D. Ipomai;
Ms. G.M. Malombe; J.O.A Nyerere.

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“The business fundamentals remain strong and we are optimistic of a stronger performance in the remaining part of the year. We are continually pursuing a sustainable business model and excellence in customer experience to enable us play a more catalytic role in East Africa’s economic journey,” said Mr Oigara.

“The banking sector continues to undergo numerous challenges and as a Bank, our continuous innovation and customer centric orientation ensures that we remain focused on acting as an enabler for progress to our customers. That is what drives us to excellence” he added.

According to the financials released on Wednesday, forex income increased 3% to KShs. 2.64B from KShs. 2.57B a similar period last year while fees and commissions went up 14% to KShs. 7.21B from KShs. 6.30B, buttressing the Bank’s resolve to deliver growth aided by non- interest income.

Total loans and advances, increased by 17% to KShs. 407 billion. This drove the growth in Total assets to KShs. 630.6 billion. The growth in the balance sheet further strengthens the Bank’s capability to run a stronger regional business across East Africa.

On the funding part of the business, Customer deposits increased to KShs. 482.8 billion representing a growth of 1%. This marginal growth is attributed to the continued hyperinflation in South Sudan.

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From a capital perspective, the Bank has sufficient cover on both key ratios i.e. core capital to risk weighted assets at 14.3% (CBK minimum-10.5%), total capital to risk weighted assets at 17.2% (CBK minimum-14.5%) and core capital to total deposits at 15.7% (CBK minimum-8%).

KCB has over the past three years pursued a strategy which departs from the traditional bricks and mortar banking channels to non-branch channels, particularly digital platforms, including internet, agency, mobile banking, and cards.

“This strategy focuses on growing digital banking so as to enhance the experience of our esteemed customers whenever they interact with us and at the same time spread our network in KCB,” said Mr Oigara.

The first half numbers indicate that non-branch channel systems—Mbenki, KCB M-PESA, Mobi and payments— accounted for 86% of KCB’s total transactions.

Last month, the Global Credit Ratings (GCR) agency affirmed the KCB’s long-term and short-term national scale ratings of AA(KE) and A1+(KE) respectively; with the outlook accorded as Stable—currently the highest for a Kenyan bank assigned by firm.

The South African based ratings firm said KCB is poised to continue growing in an increasingly challenging environment, riding on an established domestic market position, strong capitalisation, sound liquidity position and support from its shareholders.

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Moody's Investors Service in its latest assessment of KCB released late July said although Kenyan banks will continue to face challenges in the months ahead, with muted loan growth and mounting asset quality pressure, KCB is expected to maintain healthy profits and strong capital buffers which provide substantial protection against downside risks and help support the bank's credit quality.

(Ends)

Additional Information

About KCB Bank Group

KCB Bank Group is East Africa's largest commercial Bank that was established in 1896 in Kenya. Over the years, the Bank has grown and spread its wings into Tanzania, South Sudan, Uganda, Rwanda, Burundi and Ethiopia. Today KCB Bank Group has the largest branch network in the Region of over 258 branches, 962 ATMs and 14,976 agents offering banking services on a 24/7 basis in East Africa. This is complemented by mobile banking and internet banking services with a 24hour contact center services for our customers to get in touch with the Bank. The Bank has a wide network of correspondent relationships totaling over 200 banks across the globe and our customers are assured of a seamless facilitation of their international trade requirements wherever they are.

For further information please contact Judith Sidi Odhiambo-Head of Corporate & Regulatory Affairs; email: jsodhiambo@kcb.co.ke

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KCB

KCB INVESTOR PRESENTATION

H117 GROUP FINANCIAL RESULTS

AUGUST 2017

JOSHUA OIGARA GROUP CEO & MD | LAWRENCE KIMATHI GROUP CFO

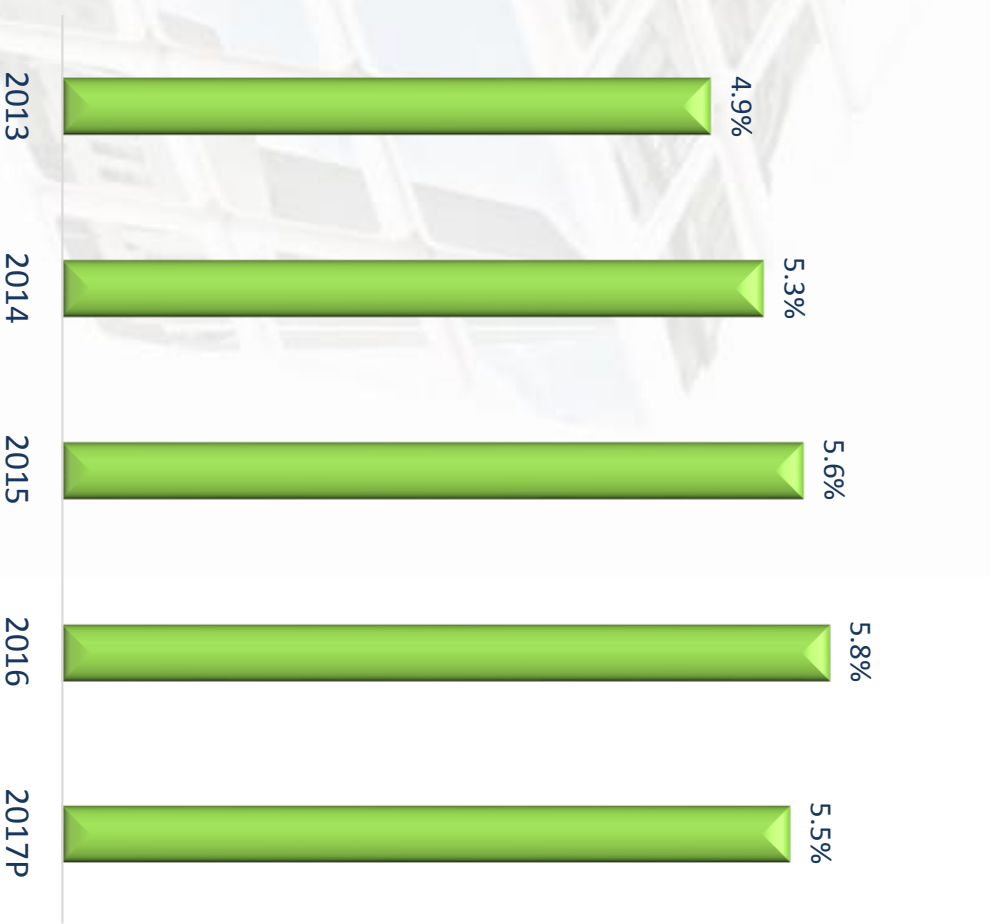
Macro-Economic Highlights: Kenya

GDP Anchored by Non-Agriculture



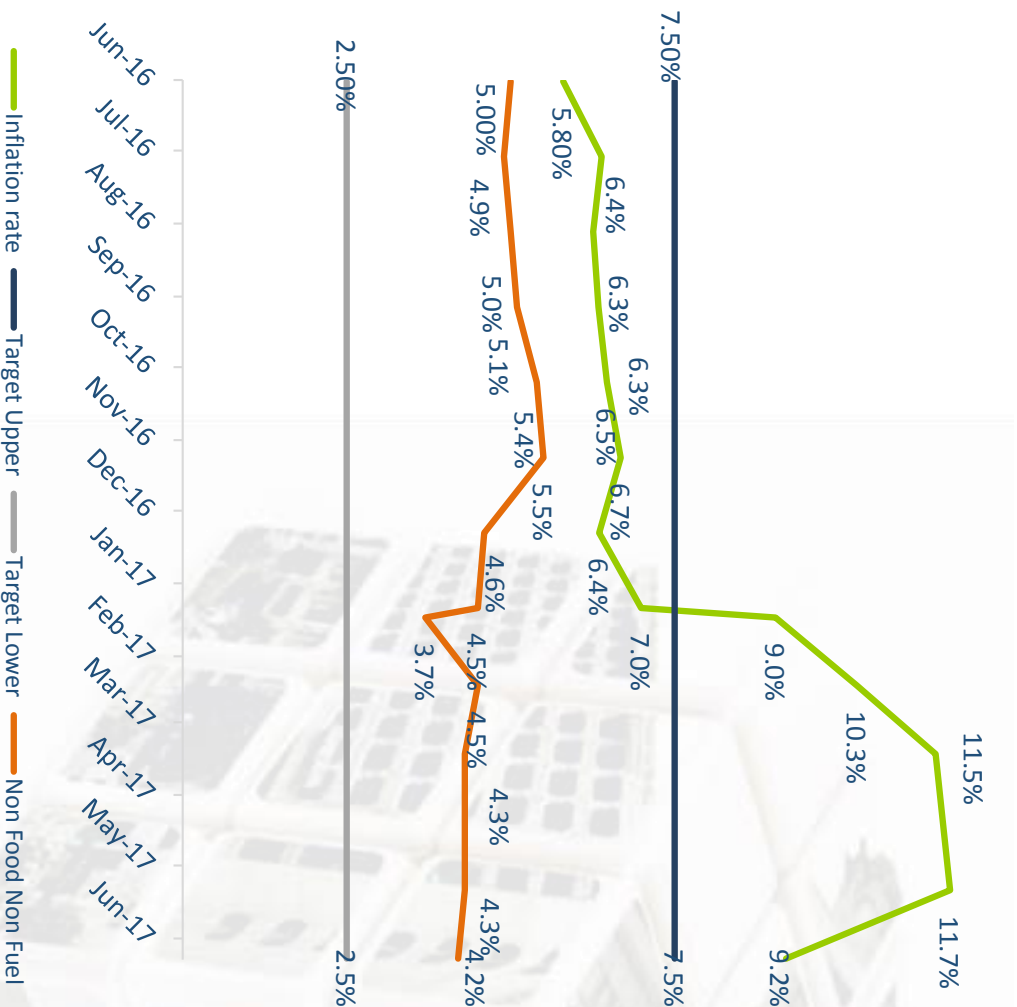
Source: CBK

GDP Growth Rate (%)



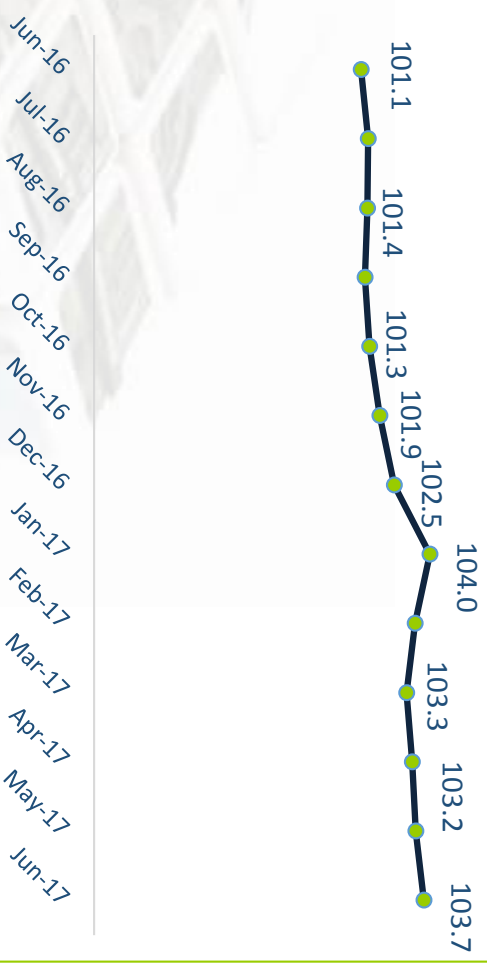
Macro-Economic Highlights: Kenya

Inflation



Sources: WB, CBK

USD/KES Exchange Rate



Interest Rate Evolution (%)



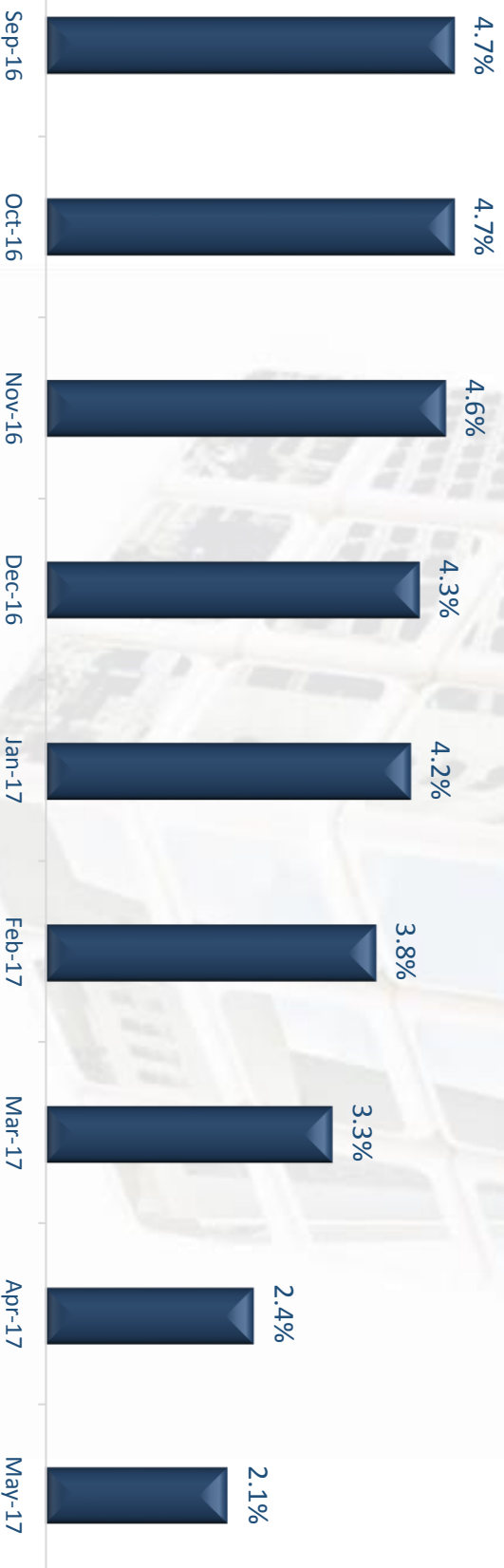
Sources: CBK, KCB

Macro-Economic Highlights: Kenya

Current Account Balance (% of GDP)

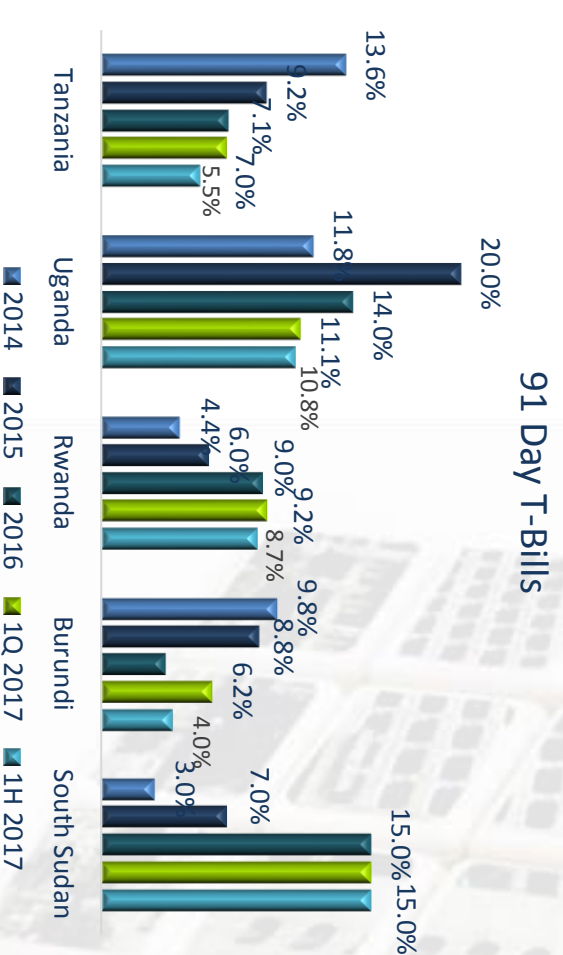
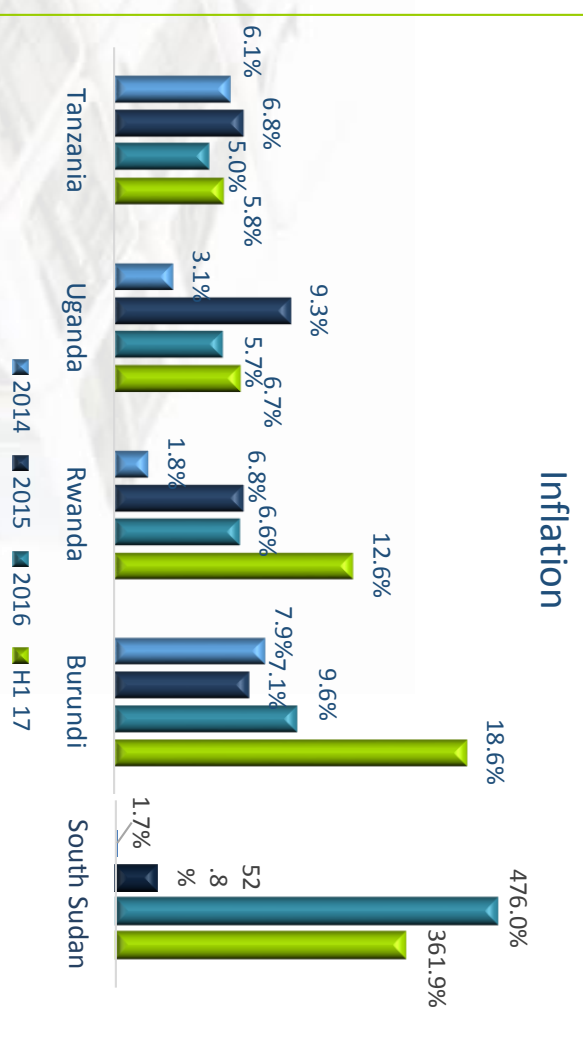
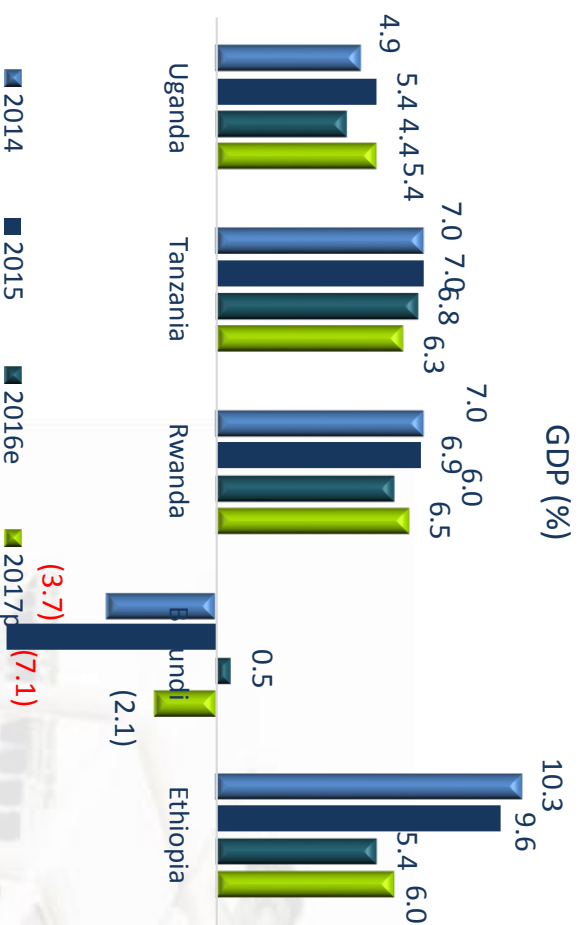


12 Month Private Sector Credit Growth



Source: CBK

Macro-Economic Highlights: Regional



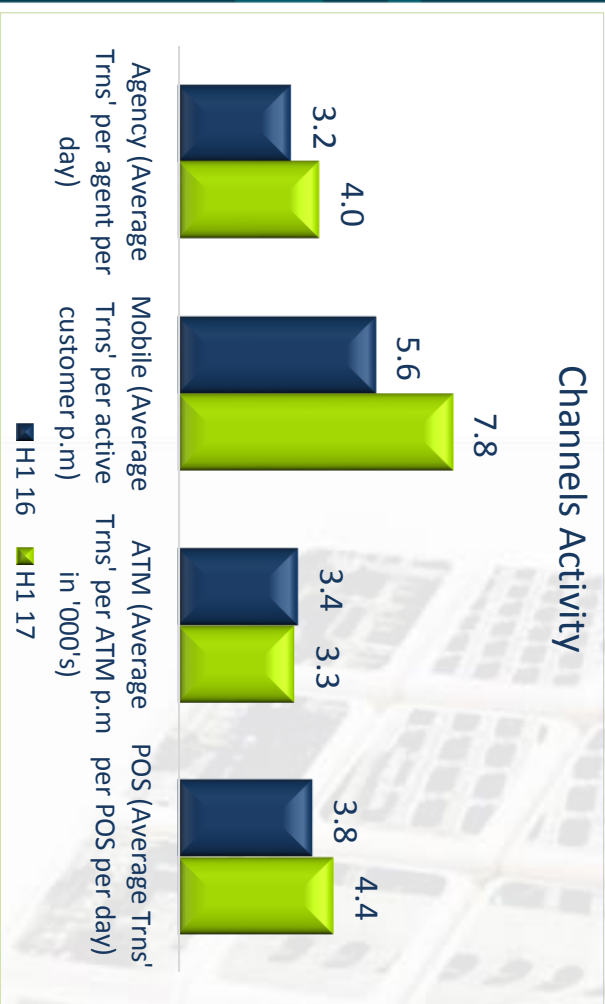
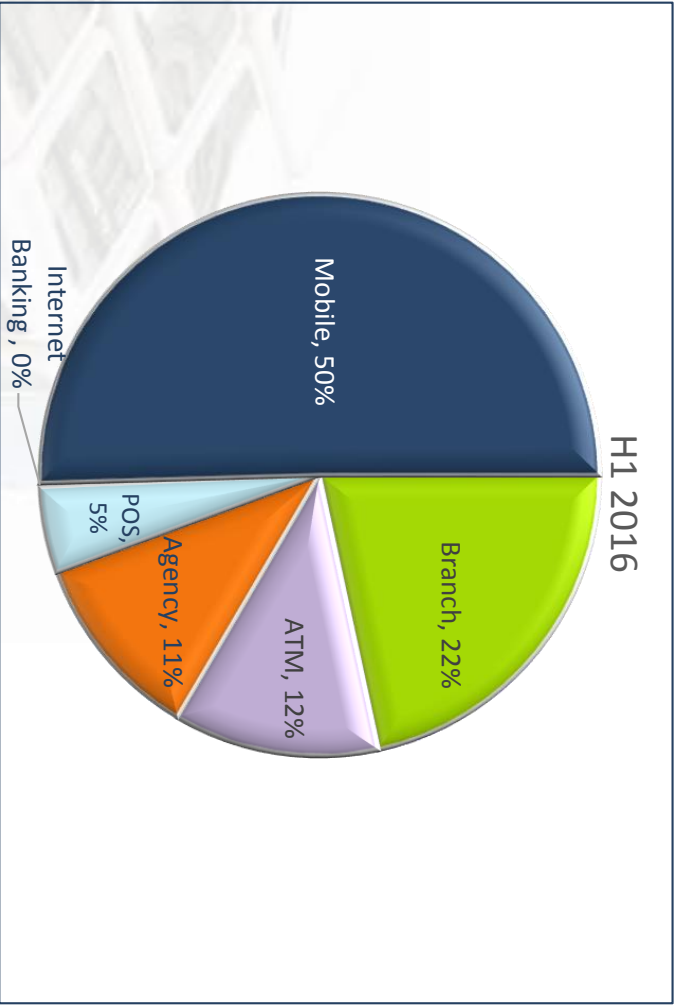
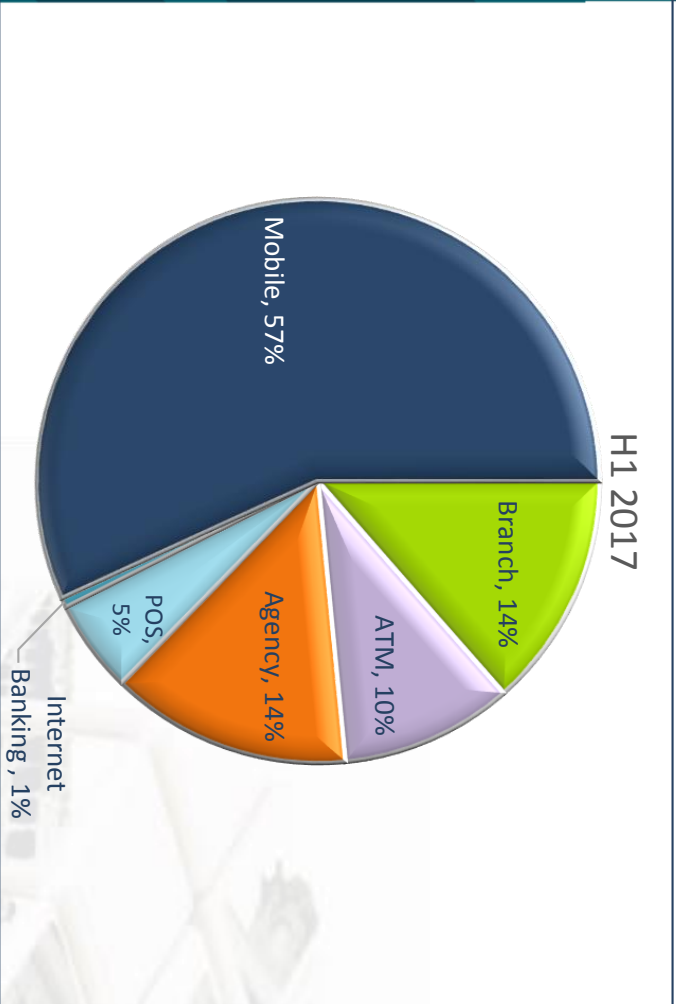
Exchange Rates to USD (Period Average)				
Country	FY 2016	Q1 2017	Q2 2017	
Burundi	1,629	1,690	1,643	
Uganda	3,484	3,598	3,491	
Tanzania	2,186	2,231	2,207	
Rwanda	785.6	822.9	827.9	
South Sudan	44.3	109.0	111.4	

Sources: IMF, BMI

DIGITAL CHANNEL PERFORMANCE



86% of Transactions outside the Branch



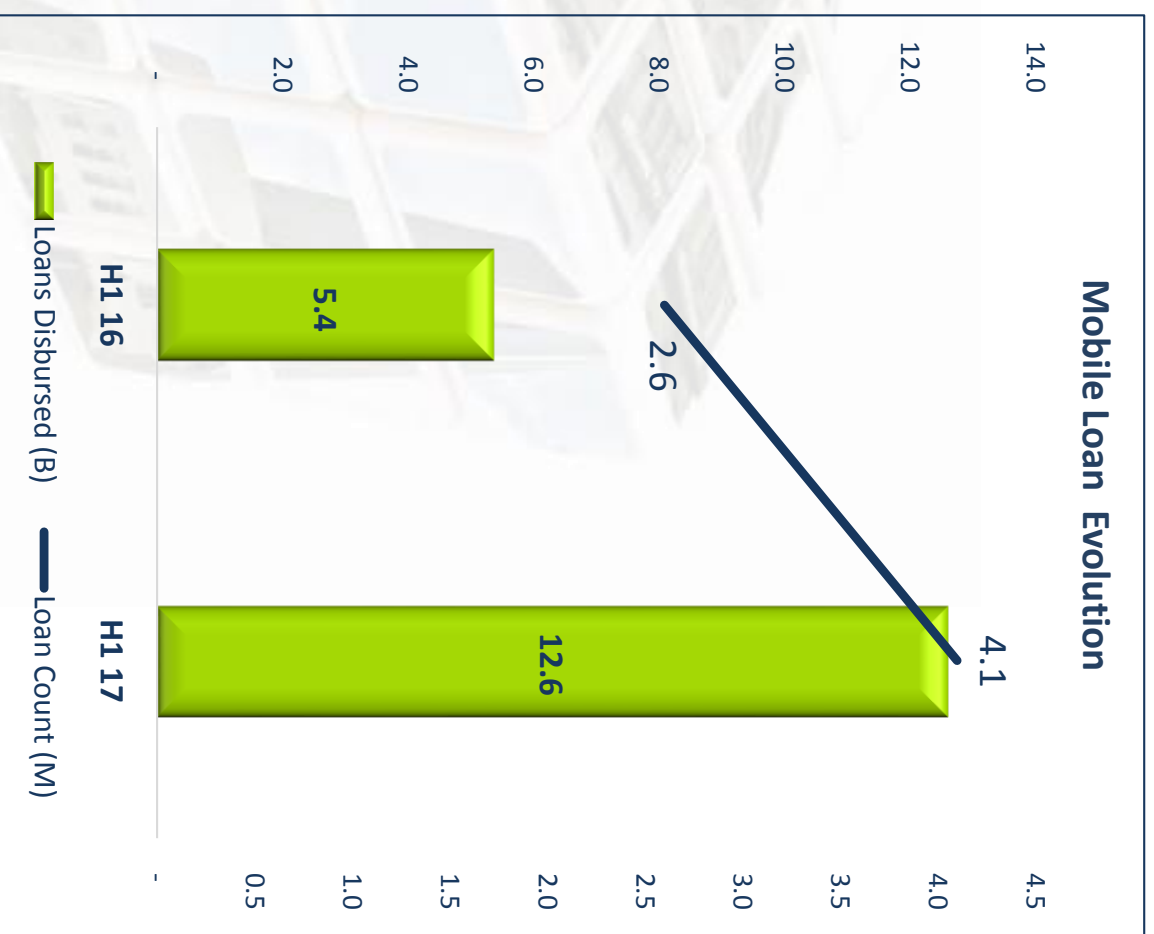
Source: KCB data

Increased Activity on Digital Channels

Evolution of Channel Activity



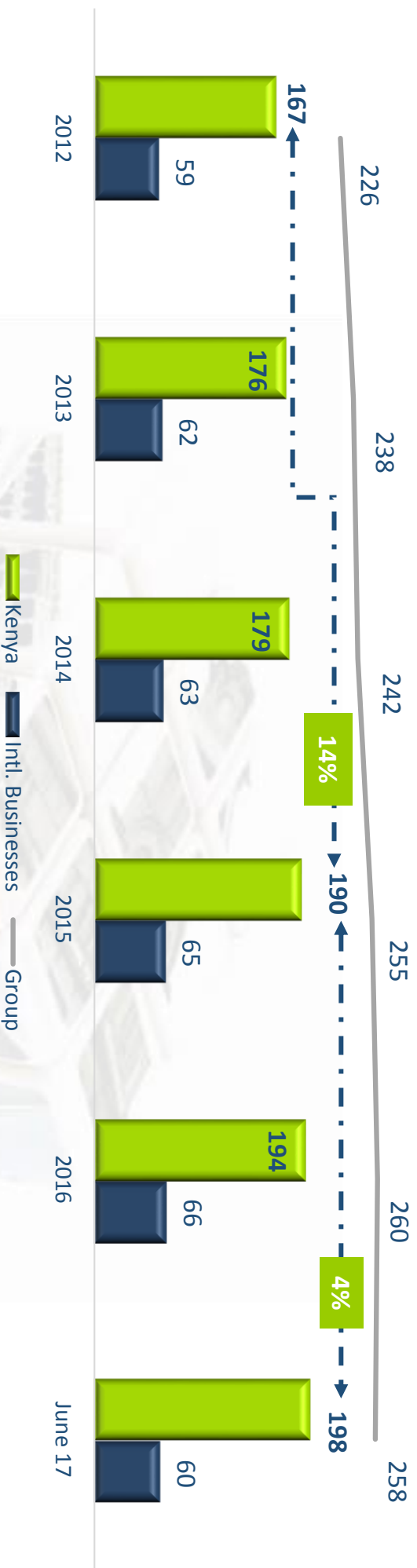
Mobile Loan Evolution



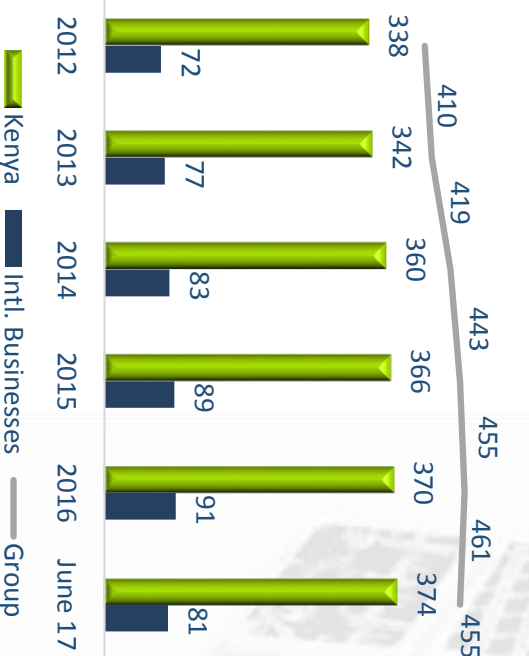
Source: KCB data

Channel Development

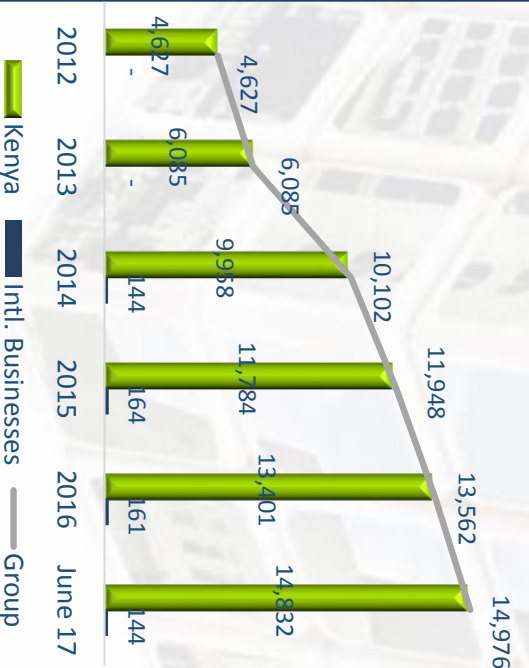
Branches



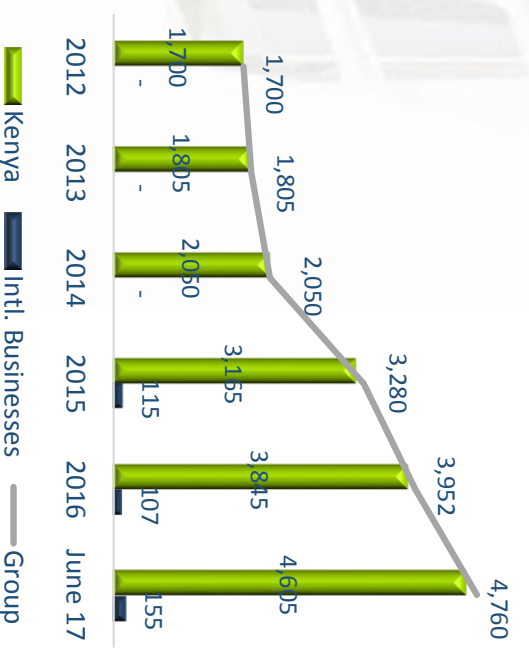
ATMs



Agents



Merchant/POS





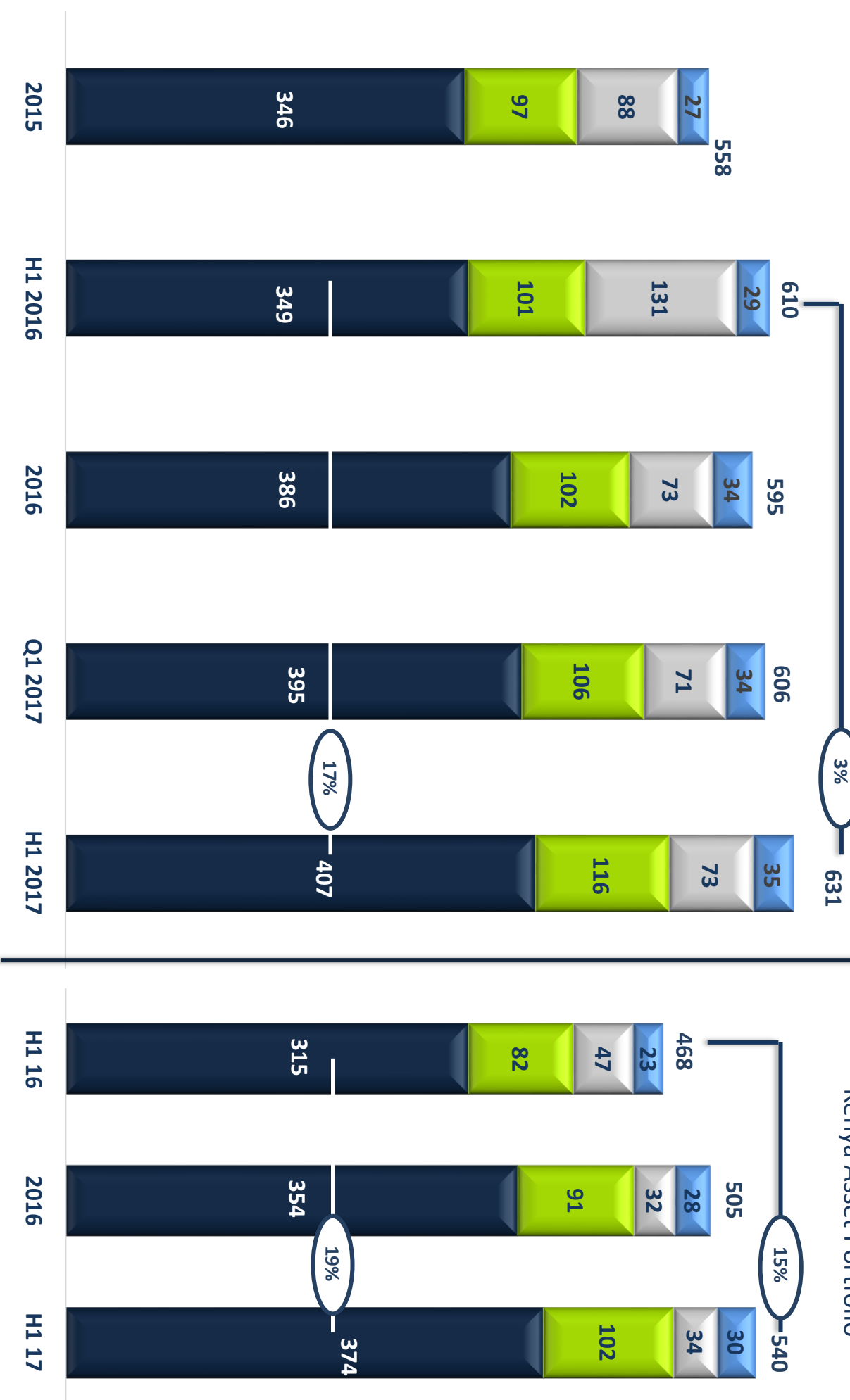
KCB

OUR PERFORMANCE TO DATE

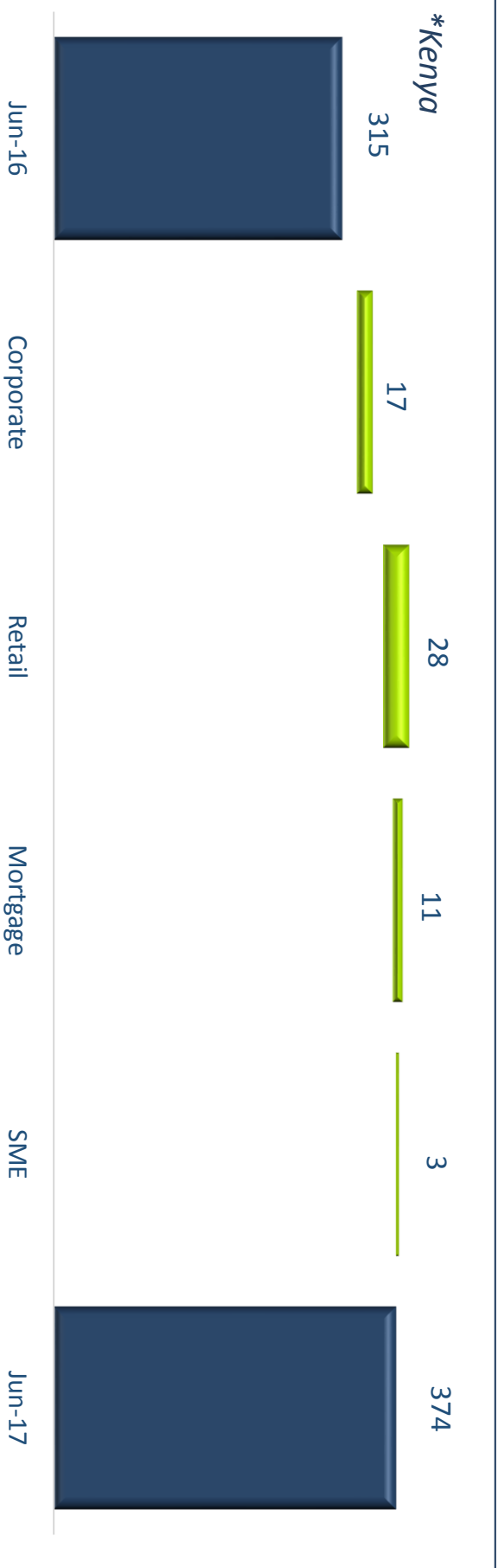
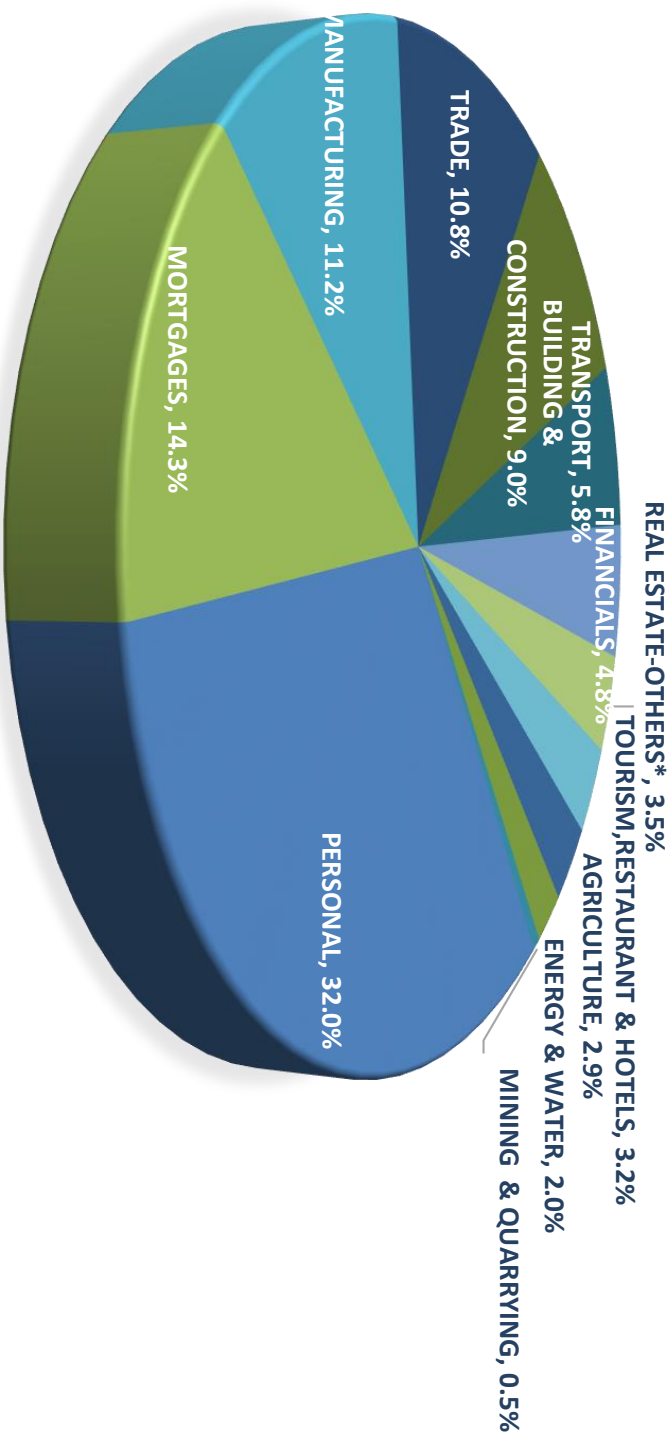
17% Growth in Loans and Advances driven by the Kenya Business

KShs B

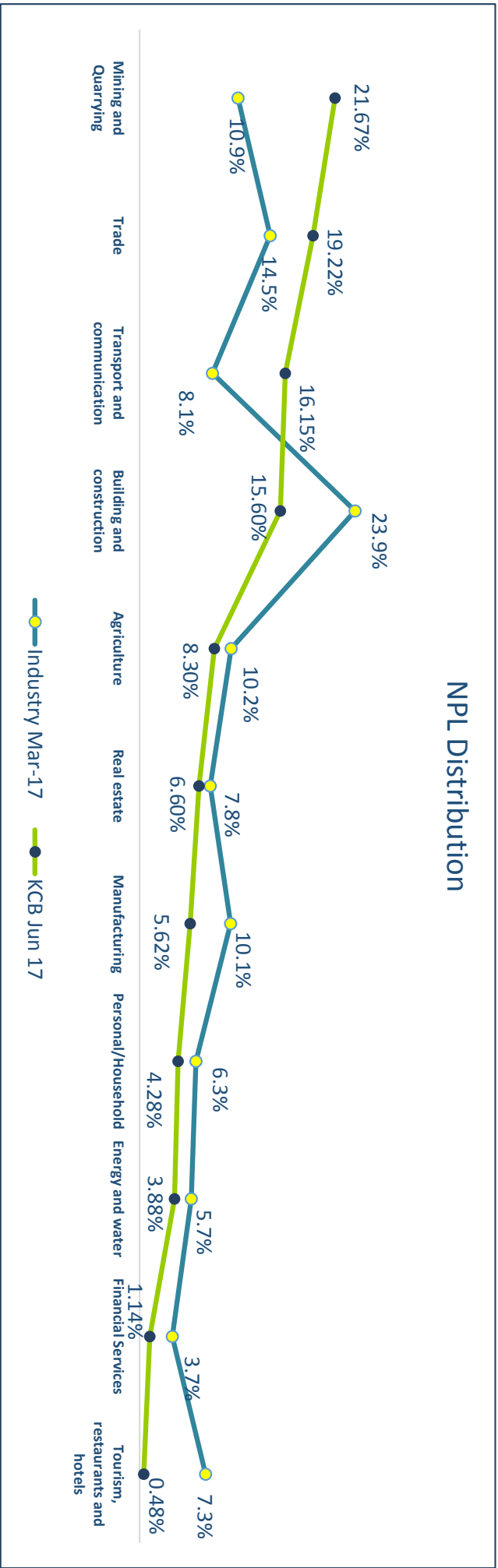
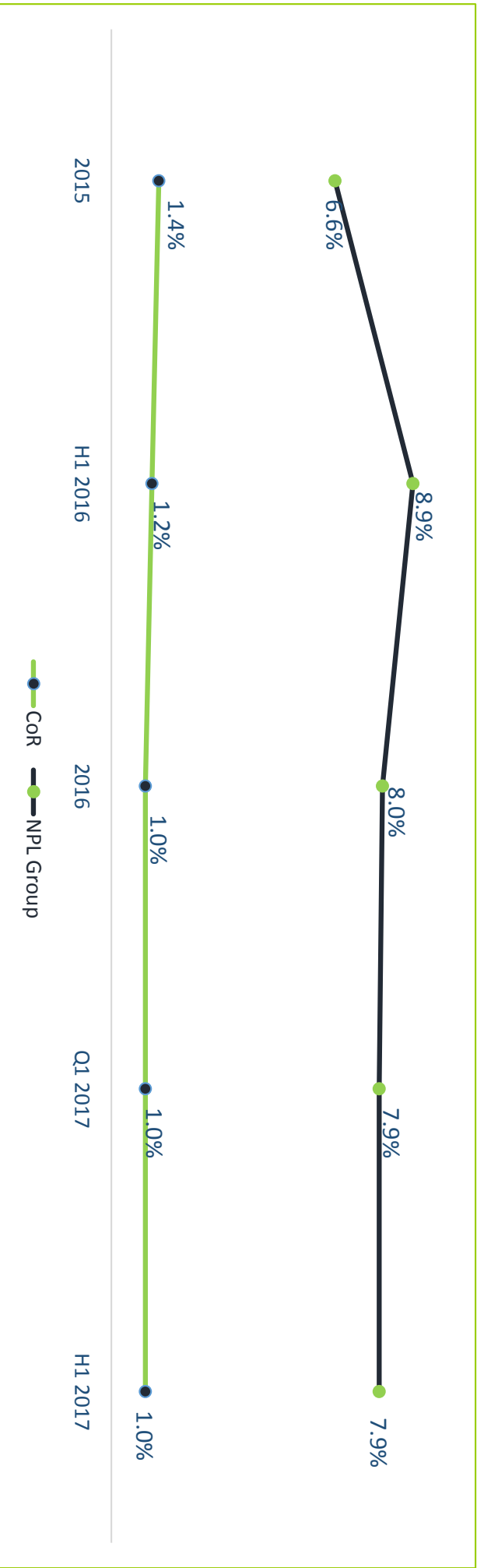
Kenya Asset Portfolio



Net Loans and advances Investment in Govt. Securities Cash and Balances with Central Bank and other Financial Institutions Other Assets



Asset Quality within guidance level

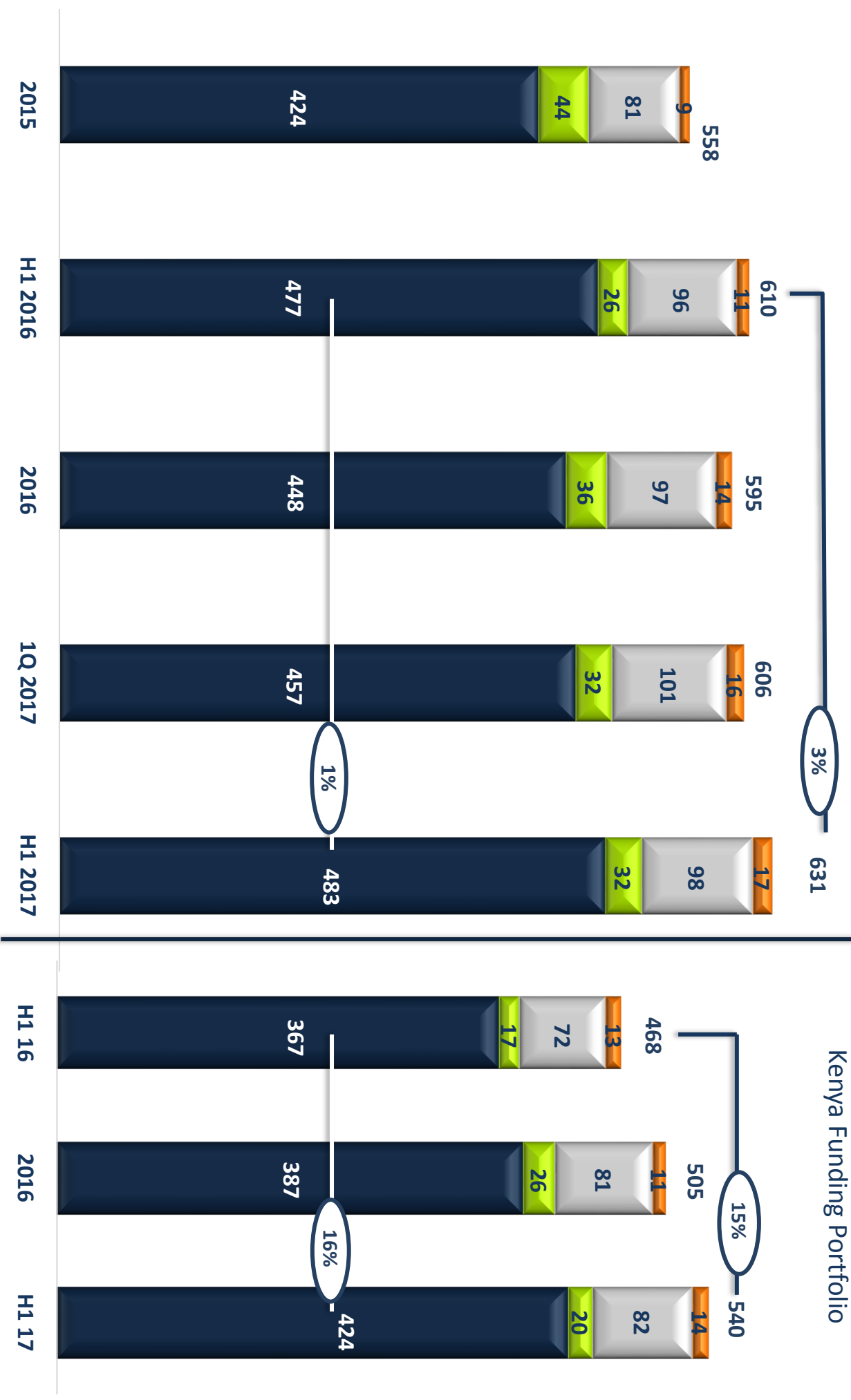


Stable Coverage Position



77% of Funding from Deposits

KShs B



CASA driving 71% of Deposits



2015

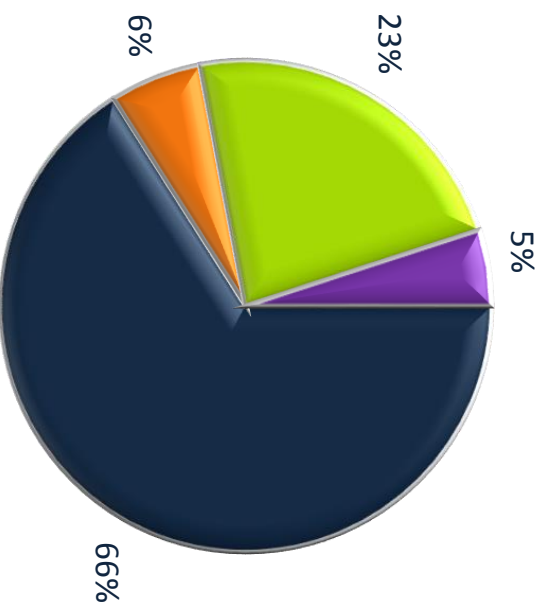
H1 2016

2016

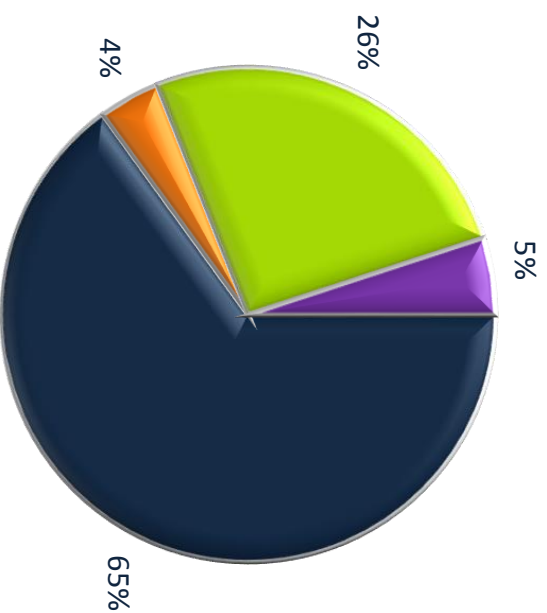
H1 2017

Corporate Retail Other

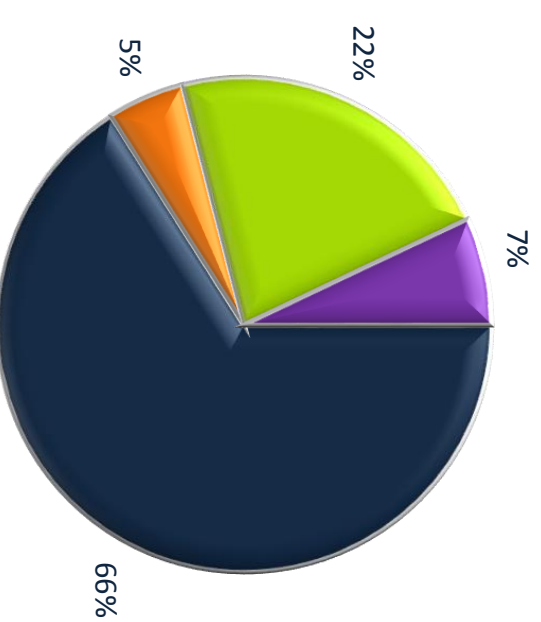
Deposits by Type H116



Deposits by Type FY16



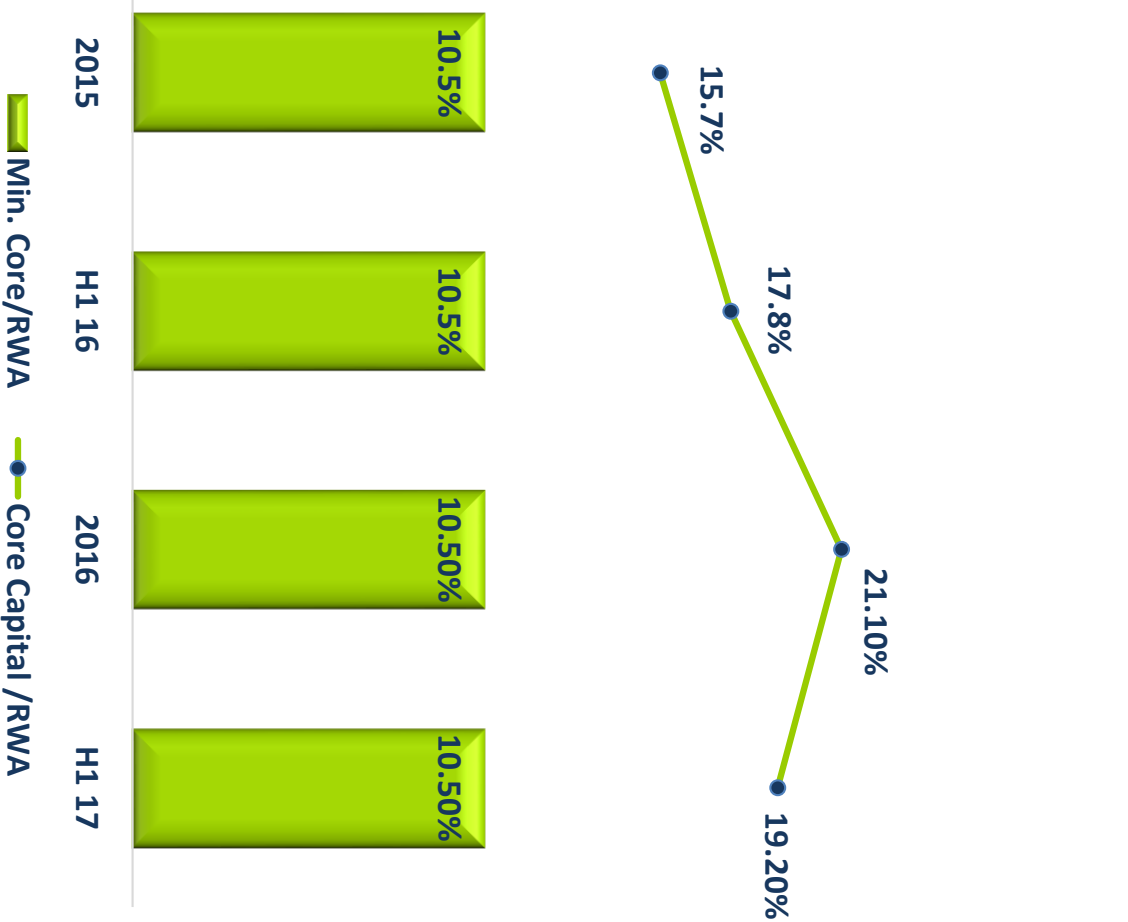
Deposits by Type H117



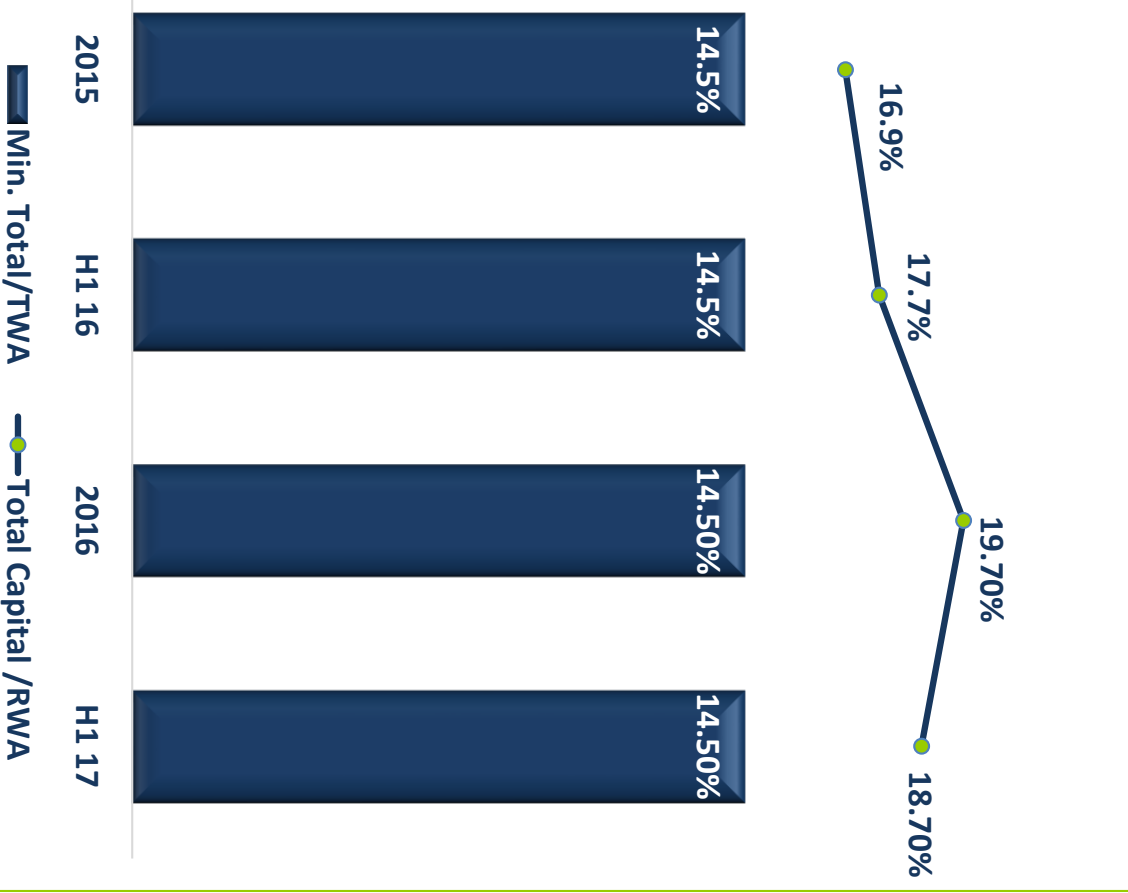
Demand Savings Term Call

Adequate Headroom on Capital Ratios

Group Core Capital to RWA



Group Total Capital to RWA



Stable Balance Sheet supported by 17% growth in Loans

KShs Millions	KCB Bank Kenya			KCB GROUP		
	Actual H1-16	Actual H1-17	Y-O-Y Change	Actual H1-16	Actual H1-17	Y-O-Y Change
Cash	6,591	6,850	4%	11,271	9,887	(12%)
Balances with Central Bank	34,926	18,456	-47%	34,926	20,006	(43%)
Balances with other institutions	5,797	9,043	56%	84,948	43,271	(49%)
Investments in Government & Other securities	82,116	101,752	24%	101,497	115,795	14%
Net loans and advances*	315,327	373,809	19%	348,696	406,976	17%
Fixed assets	8,683	9,327	7%	13,082	12,994	(1%)
Other assets	14,680	20,735	41%	15,787	21,680	37%
Total Assets	468,119	539,972	15%	610,207	630,608	3%
Customer Deposits	366,821	423,696	16%	476,520	482,845	1%
Balances due to other banks	1,136	8,210	623%	8,320	15,419	85%
Other liabilities	12,854	13,705	7%	11,163	17,281	55%
Long-term debt	15,486	11,973	-23%	17,746	16,733	(6%)
Total Liabilities	396,29	457,584	15%	513,749	532,277	4%
Shareholders' Equity	71,822	82,388	15%	96,458	98,331	2%
Total Liabilities and Equity	468,119	539,972	15%	610,207	630,608	3%

*Gross Loans: 419,439M

Level YoY P&L performance

KShs Millions	KCB Bank Kenya			KCB GROUP		
	Actual H1-16	Actual H1-17	Y-O-Y Change	Actual H1-16	Actual H1-17	Y-O-Y Change
Interest Income	28,291	27,174	(4%)	31,609	30,363	(4%)
Interest Expense	(7,783)	(5,974)	(23%)	(9,107)	(7,214)	(21%)
Net interest income	20,508	21,200	3%	22,501	23,149	3%
Foreign exchange income	1,036	1,540	49%	2,567	2,645	3%
Net fees and commissions	4,613	5,324	15%	6,304	7,210	14%
Other income	2,111	1,042	(51%)	2,337	1,633	(30%)
Total operating income	28,268	29,106	3%	33,709	34,637	3%
Total operating expenses	(12,529)	(13,696)	9%	(15,633)	(16,909)	8%
Net provisions for bad debts	(1,775)	(1,630)	(8%)	(2,061)	(2,013)	(3%)
Profit Before Loss on Monetary Position	13,964	13,780	(1%)	16,015	15,715	(2%)
Loss on Monetary Position	-	-	-	(1,182)	(963)	(2%)
Profit before tax	13,964	13,780	(1%)	14,833	14,752	(1%)
Tax	4,189	4,145	(1%)	4,552	4,491	(1%)
Profit after tax	9,775	9,635	(1%)	10,281	10,261	0%

Overview of Key Financial Ratios

H1 16	FY16	Q1 17		KENYA	GROUP
24.4%	22.2%	20.3%	Return on Average Equity	23.6%	21.1%
47.9%	47.6%	52.5%	Cost to Income	47.4%	51.8%
8.9%	8.0%	7.9%	Gross NPL to Gross Loans	7.8%	7.9%
71.1%	69.5%	79.6%	NPL Coverage	84.6%	75.4%
19.5%	23.8%	23.3%	Debt to Equity	14.5%	17.0%
31.6%	32.3%	35.0%	Non funded income to total income	28.3%	33.5%
3.9%	3.3%	3.1%	Cost of funds	2.8%	2.9%
9.7%	9.6%	7.9%	Net Interest Margin	9.2%	8.6%
1.4%	1.0%	1.0%	Cost of risk	0.9%	1.0%
80.2%	86.1%	86.6%	Loan to Deposit Ratio	90.7%	86.9%
8%	11%	14%	Growth of Net Loans and Advances	19%	17%
-2%	6%	8%	Growth of Customer Deposits	16%	1%

Interim Dividend

Following these results, the Board of Directors approved payment of an interim dividend of KShs: 1.00 per share.

The dividend will be paid on or about, 31 October 2017, to shareholders registered at the close of business on 4 September 2017.



Thank you.

Investor Relations

Email: investorrelations@kcb.co.ke

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